EXECUTIVE SUMMARY

A. Introduction

Old folks in Amulung claim that the place got its name from a vine, which was then abundant in the forest. Natives called this vine "Am-a-mulung". Since then, the place came to be known as Amulung up to its operation as a Municipality on December 15, 1734.

Amulung is 26 kilometers north of Tuguegarao City and could be reached in 35 minutes by land transportation. It has 47 barangays and classified as a second (2nd) class Municipality, covering an area of 24,220 hectares and populated by about 42,754 inhabitants.

The enactment of Republic Act 7160, otherwise known as the "Local Government Code of 1991", extended the powers of the Local Government units to include not only on the ability to create sources of funds but also gave them total independence in managing, deciding and planning its own administrative and financial affairs in conformity with the National Government's thrust for sustainable social and economic development.

The audit covered the accounts and operations of the Municipality of Amulung, Cagayan for CY 2019 and was aimed at determining whether Management presented fairly the financial statements of the Municipality in adherence to the generally accepted accounting principles; whether prevailing laws, rules and regulations were complied with; and whether funds were utilized in the most efficient, effective and economical manner. Financial, compliance and value-for-money audit were conducted to achieve these audit objectives.

B. Financial Highlights

For CY 2019, the financial information of the Municipality is presented below:

Particulars	2019	2018	Increase/(Decrease)	
			Amount	Percentage
Financial Condition				
Assets	616,229,896.59	632,325,219.28	(16,095,322.69)	-2.55%
Liabilities	167,807,940.76	205,175,687.99	(37,367,747.23)	-18.21%
Government Equity	448,421,955.82	427,149,531.29	21,272,424.53	4.98%
Result of Operations				
Income	160,309,713.17	147,144,885.22	13,164,827.95	8.95%
Expenses	144,559,728.53	128,280,725.27	16,279,003.26	12.69%
Appropriations, Allotments and Obligations				
Total Appropriation	185,737,233.01	167,724,212.78	18,013,020.23	10.74%
Total Obligations	120,064,566.38	117,599,010.95	2,465,555.43	2.10%

Particulars	2019	2018	Increase/(Decrease)	
			Amount	Percentage
Comparative Statements of Funds Received from NGAs, LGU, NGOs, & POs				
Nat'l Gov't Offices	16,957,196.11	23,729,184.24	(6,771,988.13)	-28.54%
Local Gov't Units	-	-		
Comparative Statements of Funds Transferred to NGAs, LGU, NGOs, & POs				
Local Gov't Units	47,000.00	47,000.00	-	0.00%

C. Auditor's Opinion on the Financial Statements

The Auditor rendered a Qualified Opinion on the fairness of the presentation of the financial statements of the Municipality of Amulung as of December 31, 2019 due to the following:

1. The Property, Plant & Equipment account, with a total net book value of P196,908,163.53, could not be relied upon due to the failure of the Municipality to conduct the physical inventory of all its properties and the non-submission of the Inventory Report thereon, which is not in accordance with Section 156 of COA Circular 92-386, and the non-maintenance of Property, Plant and Equipment ledger cards by the Accounting Office;, thus casting doubt as to the existence and condition of the properties and the reliability of the corresponding depreciation.

2. Self Employment Assistance in the total amount of P53,000.00 were disbursed to LGU constituents in the form of a loan grant but were taken up in the books as Other Maintenance and Operating Expenses, instead of taking-up the receivable account, thus affecting the reliability of the financial statements.

D. Summary of Significant Observations and Recommendations

The following are the audit team's significant audit observations and recommendations:

1. **Procurement of various furniture, fixture, and office equipment totaling to P754,532.00 by the legislative department were charged to the approved CY 2019 annual budget of the executive department , contrary to Section 336 of RA 7160, and Section 4 of Presidential Decree 1445, resulting to cross-border transfers.**

   We recommended that the Municipal Budget Officer and the Former Local Chief Executive submit to this Office a written justification/comment for the cross border transfer made on the budget of the Municipality as a basis of the Audit Team to draw a decision. We also recommended that for future Approved Annual Budget of the Municipality the executive department should use the funds exclusively for the specific purpose for which they have been appropriated.

2. **Various Maintenance and Other Operating Expenses (MOOE) items totaling to P3,015,000.00 were realigned in the 1st Semester, contrary to Section 336 of RA 7160, otherwise known as "The Local Government Code of 1991", resulting to non-availability of some current operating expenditures appropriations that are necessary for the operations of the Municipality for the 2nd semester.**

   We recommended that the Municipal Budget Officer and the Former Local Chief Executive submit to this Office a written justification/comment for the realignment/augmentation of some items in the budget of the Local Chief Executive as a basis of the Audit Team to draw a decision. We also recommended that for future Approved Annual Budget of the Municipality, the executive department should use the funds exclusively for the specific purpose for which they have been appropriated. Furthermore, we recommended that the budget should be efficiently planned and executed.

3. **Separate procurement of curtains and expandable curtain rod for the legislative department amounting to P174,800.00 and P49,000.00, respectively, resulted to Splitting of Government Contracts, contrary to Section 54.1 of Republic Act 9184, thus depriving the Municipality of the benefits of competitive bidding.**

   We recommended that the Legislative Department, the Bids and Awards Committee and the former Local Chief Executive submit to this Office a written justification/comment to the above audit observation as a basis of the Audit Team to draw a decision.

4. **Driver's Trip Tickets were not properly filled up/accomplished while the Monthly Reports of Fuel Consumption of Motor Vehicle and Monthly Report of Official Travels were not submitted, contrary to the provisions of COA Circular No. 77-61 dated September 26, 1977, thus, the reasonableness and necessity of fuel consumption during the year amounting to ₱2,715,051.06 could not be ascertained.**

   We recommended that Municipal Accountant require the General Services Officer to submit to her office the following documents for transmittal to the Auditor's Office:

   a) Submit pre-numbered and properly filled up Driver's Trip Tickets;

   b) Submit a Monthly Report of Fuel Consumption of Motor Vehicles and Monthly Report of Official Travels to the Auditor; and

   c) May we also have a list of fuel consumption (Kilometer per Liter) of each vehicle of the Municipality.

We also recommended that the Management give this Office the legal basis of granting gasoline allowance to PSI Albert Florentino.

E. Summary of Suspensions, Disallowances and Charges

The following are the summary of suspensions, disallowances and charges as of December 31, 2019:

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	0.00	0.00	0.00	0.00	0.00
Current Year	0.00	0.00	0.00	0.00	0.00
Total	0.00	0.00	0.00	0.00	0.00
Disallowances					
Prior Years	P17,115,293.15	0.00	772,694.56	P16,342,598.59	4.51%
Current Years	0.00	0.00	0.00	0.00	0.00
Total	P17,115,293.15	0.00	772,694.56	P16,342,598.59	4.51%
Charges					
Prior Years	0.00	0.00	0.00	0.00	0.00
Current Years	0.00	0.00	0.00	0.00	0.00
Total	0.00	0.00	0.00	0.00	0.00

F. Status of Implementation of Prior Year's Unimplemented Audit Recommendations

Out of 18 audit recommendations contained in the CY 2018 Annual Audit Report, 10 were implemented, six (6) were partially implemented and two (2) were not implemented.